HEADNOTE

"1. Article 33(10) UPCA and Rule 295(a) RoP must be applied and interpreted in accordance with the fundamental right to an effective legal remedy and a fair and public hearing within a reasonable time as guaranteed by Article 6 of the European Convention for the Protection of Human Rights and Fundamental Freedoms and, to the extent that European Union Law is concerned, Article 47 of the Charter. These provisions must also be applied and interpreted in accordance with Articles 41(3), 42 and 52(1) UPCA on the basis of the principles of proportionality, flexibility, fairness and equity (point 2 of the Preamble of the RoP).

2. In accordance with these principles, proceedings must be conducted in a way which will normally allow the final oral hearing at first instance to take place within one year whilst recognizing that complex actions may require more time and procedural steps, and simple actions less time and fewer procedural steps (point 7 of the Preamble of the RoP). Case management must be organized in accordance with this objective (point 7 of the Preamble of the RoP). It follows that, as a general principle, the Court will not stay proceedings. Otherwise, the Court cannot ensure that the final oral hearing will normally take place within one year.

3. The mere fact that the revocation proceedings before the UPC relate to a patent which is also the subject of opposition proceedings before the EPO is not sufficient to allow an exception to the principle that the Court will not stay proceedings. The Convention on the Grant of European Patents and the UPCA allow third parties to challenge the validity of a patent in both opposition and revocation proceedings and allow them to initiate revocation proceedings while opposition proceedings relating to the same patent are pending.

4. The principle of avoiding irreconcilable decisions does not require that the UPC always stay revocation proceedings pending opposition proceedings. Firstly, decisions in which the UPC and EPO issue different rulings on the revocation of a European patent are not irreconcilable. Where one body upholds the patent and the other revokes it, the latter decision will prevail. Secondly, the interests of harmonising decisions on the validity of a European patent can be promoted by ensuring that the body that decides last can take the decision of the body that decides first into account in its decision. That means that the interests of harmonisation in general do not require a stay by the UPC where it can be expected that the UPC will issue its decision first.

5. Pursuant to Article 33(10) UPCA and Rule 295(a) RoP, an exception to the principle that the Court will not stay revocation proceedings pending opposition proceedings

> *applies when a rapid decision may be expected from the EPO. The terms "rapid" and "rapidly" in these provisions must be interpreted in the light of the principles set out above and the relevant circumstances of the case, such as the stage of the opposition proceedings and the stage of the revocation proceedings. The term "may" in Article 33(10) UPCA and Rule 295(a) RoP means that the Court has a discretionary power to stay the proceedings when a rapid decision may be expected from the EPO. Whether or not a stay is granted depends on the balance of the interests of the parties.*
> *6. The mere fact that the EPO has granted a request to accelerate the opposition proceedings is not sufficient to stay revocation proceedings before the UPC. Rule 298 RoP provides that the Court may stay its proceedings "in accordance with Rule 295(a) RoP" pending accelerated opposition proceedings. Therefore, in that situation the same criterion applies, namely the requirement of Rule 295(a) RoP that the decision in the opposition proceedings may be expected to be given rapidly. Obviously, acceleration is relevant to the assessment, since the pace of the proceedings determines when the decision of the EPO can be expected. Acceleration as such is however not sufficient for establishing the expectation of a rapid decision within the meaning of Rule 295(a) RoP."*

COURT
Court of Appeal Luxembourg

PROCEEDINGS
Procedural order

PATENT
EP 3 414 708

ADAPTIVE SENSOR SAMPLING OF A COLD CHAIN DISTRIBUTION SYSTEM

KEYWORDS
Appeal
Stay of revocation proceedings pending op...
Accelerated opposition proceedings

Article 33 Competence of the divisions of the Court of First Instance

SUMMARY
The Court of Appeal in Luxembourg issued a procedural order regarding revocation proceedings. The patent at issue relates to adaptive sensor sampling of a cold chain distribution system. According to the headnotes of the decision, the UPC must interpret procedural rules in light of fundamental human rights, including the right to a fair hearing within a reasonable timeframe and the principles of proportionality, flexibility, fairness and equity. Case management should ordinarily enable final oral hearings at first instance within one year, with complexity determining whether more or less time and procedural steps are necessary. As a general principle, the UPC will not stay proceedings merely because the same patent is simultaneously undergoing opposition at the EPO, since both forums are designed to allow validity challenges in parallel. The principle of avoiding conflicting decisions between the UPC and EPO does not automatically require a stay, because a revocation decision by either body will ultimately prevail and allowing the faster-deciding body to rule first can serve harmonization interests. An exception to the no-stay principle applies only when a rapid EPO decision may reasonably be expected given the circumstances of both proceedings, and the Court has discretion to balance the parties' interests in deciding whether to grant a stay. Mere acceleration of EPO opposition proceedings is insufficient to justify a UPC stay unless acceleration demonstrably supports an expectation that an EPO decision will be rendered rapidly.